

original Indian content at ₹1,500 crore (\$200 million) for calendar year 2021 alone. It has launched more than 90 original titles in India so far. Bela Bajaria, Netflix's head of Global TV, who was recently in India, had also told *Business Today* that "the investment in India is a big one... We are fully committed to creating quality content from India".

At the moment, though, the company is struggling to strike a balance between revenues and profits, while its content costs are shooting up. For example, multiple industry sources told *BT* that despite rivals refusing to pay more than ₹40 crore to acquire the rights for Alia Bhatt-starrer *Ganubai Kathiawadi*, Netflix ended up paying substantially more. The sources added it was hard to understand the logic behind the expensive acquisition given that the movie made ₹129.10 crore at the box office, according to film trade portal Bollywood Hungama, yielding at best a return of 1.5x on the budget. A film is considered a hit when it makes returns of 3x-4x.

While Netflix's revenue has increased, the rise may not necessarily be an accurate indicator of the success of its content investments in India. This is because analysts and experts say Indian viewers prefer its international titles over its Indian originals. For instance, consulting firm Ormax Media—which tracks weekly viewership numbers for OTT content—found just one Netflix show in its list of top 15 series on SVOD platforms between January 2021 and April 2022—the Spanish drama *Money Heist Part 5* with 15.8 million unique viewers in India. This list is topped by Disney+ Hotstar's Hindi thriller *Rudra*, a remake of the British show *Luther*, with 35.2 million unique views. Amazon Prime Video's *The Family Man* has 26.1 million views.

VIEWERS' CHOICE

Viewers favour international titles over Indian content on Netflix

▶ **Just one Netflix show made it to Ormax Media's list of top 15 series on SVOD platforms between January 2021 and April 2022, which is its international title *Money Heist Part 5* with 15.8 million unique viewers in India**

▶ **In contrast, Disney+ Hotstar's Hindi show *Rudra* tops the list with 35.2 million unique views, while Amazon Prime Video's *The Family Man* had 26.1 million views**

▶ **Amazon Prime Video has three shows in the list, while Disney+ Hotstar has 11**

▶ **Within Netflix's own top 15 originals in India, two of the top three spots are occupied by international shows—*Money Heist* and *Squid Game* at No. 1 and No. 3, respectively, with Hindi show *Kota Factory S2* in between, albeit to be fair, 11 of the top 15 shows are Indian content**

NOTE: THE DATA IS BASED ON ORMAX MEDIA'S WEEKLY ESTIMATES COLLECTED THROUGH CONSUMER RESEARCH AND ANALYTICS BETWEEN JANUARY 2021 AND APRIL 2022. ACTUAL NUMBERS MAY VARY BY UP TO 10 PER CENT. NO REGIONAL LANGUAGE SERIES MAKES IT TO THE ALL-INDIA TOP 15 SERIES LIST. SVOD: SUBSCRIPTION VIDEO ON DEMAND

However, within Netflix's own top 15 originals in India, while two of the top three spots are occupied by international titles—*Money Heist* at No. 1 and *Squid Game* at No. 3—11 of the overall top 15 are Indian shows.

THE HEAD OF THE OTT service mentioned earlier gives full credit to Netflix for going big on investments, working with talent like Anurag Kashyap and Red Chillies Entertainment, and offering some of the highest budgets. "Unfortunately, what has gone wrong locally is execution and (a clear idea of) what my sensibility is and which target audience I am appealing to," he says. Several others interviewed for this story say Netflix has already cleaned out the realistic pool of subscribers available to it, given its western gaze. Cutting prices further may not help when its content sensibility doesn't match its consumers'. What it really needs is a recalibration of its internal content compass to either being a premium niche brand or a mass brand. This becomes significant especially when OTT competition is heating up with Voot's parent, billionaire Mukesh Ambani's Viacom18, landing a ₹13,500-crore investment led by media veterans James Murdoch and Uday Shankar.

"They need at least one tent-pole show which cuts across India. Until you build franchises like *Mirzapur* [on Amazon Prime Video] where you can do multiple seasons, no matter how much you cut prices, the audience will still question if they have to pay for one more service," says Shailesh Kapoor, Founder and CEO of Ormax Media. "A huge portion of the current audience they have is from the Hindi-speaking market of North and West India. They don't have much of a presence in the East and South. They probably need to create content for their taste as well," says Taurani.